AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BUS629

INTERNATIONAL BUSINESS

Final Examination/ Form B

2025-2026 / Spring
8 – June – 2026

AOU EXAM

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 3 hours**

INSTRUCTIONS:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

YOU HAVE TO ANSWER ALL QUESTIONS IN ESSAY FORMAT. EACH QUESTION CARRIES 25 MARKS

Question 1- Case Study

GlobalMed Inc., a multinational healthcare company, is expanding its product line and entering new international markets. The company is developing a range of medical devices, each with specific brand names tailored to various regions. The marketing team is working on strategies to address local regulations, cultural preferences, and counterfeit goods issues, while also deciding whether to standardize or adapt advertisements for each market. Furthermore, as the company recruits' staff for international operations, they are considering various staffing policies, such as ethnocentric, polycentric, and geocentric staffing approaches, to manage their global team effectively. The company also faces the challenge of training employees in diverse cultural environments and maintaining competitive compensation practices to attract top talent worldwide. They must also navigate labor relations issues in different countries, ensuring compliance with local labor movements and collective bargaining agreements.

Question 1(A):

As GlobalMed Inc. expands into international markets, explain how the company should develop its product and promotional strategies to succeed in these diverse regions. In your answer, discuss how laws, culture, brand names, and other product-related issues, such as counterfeit goods and shortened product life cycles, may influence decisions.

Answer Guidelines & Marks:

To answer this question effectively, start by explaining how GlobalMed Inc. can develop product strategies that consider local laws, cultural preferences, and the selection of appropriate brand and product names for different regions (10 marks). Then, discuss how the company can create promotional strategies (12 marks). Finally, the response should be well-structured, logically organized, and relevant to the scenario to earn 2 marks. **Total: 25 marks.**

Question 1 (B): Question 1(B):

Given GlobalMed Inc.'s global expansion, what staffing policy should the company implement? Compare the pros and cons of ethnocentric, polycentric, and geocentric staffing approaches in managing a global workforce.

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Answer Guidelines & Marks:

To answer this question effectively, explain the staffing policy GlobalMed Inc. should use for its international operations, considering its organizational goals and the nature of the global markets it serves (8 marks). Then, compare the ethnocentric, polycentric, and geocentric staffing approaches. Discuss the advantages and disadvantages of each approach (15 marks). Ensure the response is well-organized, clearly comparing the staffing approaches, and relevant to the case scenario to earn 2 marks for structure and presentation. **Total: 25 marks.**

Question 2: An automotive company is entering a foreign market and must weigh the benefits of forming a joint venture with a local partner versus establishing a wholly owned subsidiary to maintain control. **How does joint venture differ from wholly owned subsidiary as a contractual entry mode. What factors should a company consider when choosing between a joint venture and a wholly owned subsidiary for entering a foreign market? (25 marks)**

Answer Guidelines and Marks:

To answer effectively: Discuss the difference between Joint venture and wholly owned subsidiary as entry modes (10 marks). Discuss the factors a company should consider when choosing between these options (13 marks). Ensure the response is concise, logically organized, and directly addresses the scenario to earn 2 marks for structure. Total: 25 marks.

Question 3: In any research process, choosing the right method is essential. Both secondary and primary market research have unique roles to play in analyzing international opportunities. **Compare and contrast secondary market research and primary market research methods. Discuss the types of public and private information sources available for secondary research and the challenges businesses face with both types of research. (25 marks)**

Answer Guidelines and Marks:

To answer effectively compare the difference between secondary market research and primary market research methods. (8 marks). Discuss the types of public and private information sources available for secondary research (10 marks) and identify and list at least few challenges businesses face with both types of research. (5 marks). Ensure the response is concise, logically reasoned, and directly addresses the scenario to earn 2 marks for structure. Total: 25 marks

END OF EXAM

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